

THE UNITED STATES 2012

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1. Overview of the system

Generally, unemployed persons who meet certain eligibility requirements can receive unemployment insurance for a maximum of 26 weeks. In addition, there are other programs that assist the unemployed and/or individuals who have low incomes. Some programs have specific provisions for low income families. The most important of these programs is the Supplemental Nutrition Assistance Program (SNAP), formerly known as food stamps^[1], and Temporary Assistance for Needy Families (TANF) which are granted to families in need. Responsibility for administration of SNAP is shared, with the Federal government paying for the benefit costs and setting broad rules and the States directly administering the program. Responsibility for TANF belongs to the individual States. An Earned Income Tax Credit is available to poor working families. The tax unit is the individual, but couples have the option to be taxed jointly. Tax and benefit systems vary from State to State. The State of Michigan is used to represent a typical manufacturing region. Michigan TANF and Unemployment Insurance benefits are somewhat above the average for all States.

1.1. Average worker wage (AW¹)

The national currency is the dollar (USD). In 2012, the average worker earned USD 47,650 (Secretariat estimate).

2. Unemployment insurance

The US Department of Labor oversees the system, but each State administers its own programme. Eligibility conditions differ from State to State, as do maximum benefit levels. Generally, all States require that UI recipients be able to work and available for work. All states also require that UI recipients be actively seeking work.

2.1 Conditions for receipt

2.1.1 Employment conditions

To qualify for the minimum weekly benefit amount (WBA), wages generally must equal 11/2 X the high quarter wages (HQP) in the base period (BP), or in the alternative BP wages must equal 20 times the state AWW and wages in 2 quarters. Minimum wages needed in the BP to qualify must be at least USD 4,307 in Michigan.

2.1.2 Contribution conditions

Employers pay 0.06 to 11.05 per cent of the first USD 9,500 for each covered employee in Michigan. Tax rates among employers vary depending on their experience with respect to unemployment.

2.2 Calculation of benefit amount

2.2.1 Calculation of weekly benefit amount (WBA)

4.1 per cent of high quarter wages during the base period plus USD 6 for each dependent up to 5 dependants in Michigan. The benefit is bound by a minimum WBA of USD 117 (USD 1,638 per year), and a maximum of USD 362 per week (USD 7,240 per year), in Michigan.

2.2.2 Income and earnings disregards

The benefit is not means-tested. Income from work less than or equal to gross benefit amount is withdrawn at a rate of 40 cents to the dollar. Earnings above gross benefit amount are subtracted from 1.5 times the gross benefit amount. Individuals earning more than 1.6 times their gross benefit amount are ineligible to receive benefits.

2.3 Tax treatment of benefit

Unemployment insurance benefit income is subject to both Federal and State government income tax, but is exempted from social security taxes.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2007-2008.OECD, 2007, part 5, sections 2 and 3.

2.4 *Benefit duration*

All workers get regular state UI benefits for up to 20 weeks. If they are still unemployed after those benefits are exhausted, they will generally draw Emergency Unemployment Compensation followed by Extended Benefits.

Duration of benefit in Michigan on 1st July 2012 was 67 weeks.

Michigan's Unemployment Insurance Benefit Weeks

Source	Which States Qualify?	When Michigan Qualified	Funding Source	Maximum Number of Weeks	Amount of weekly benefit payable
Basic UI	All states.	Ongoing	State taxes levied on employers	20	\$117 – \$362
Emergency Unemployment Compensation (EUC)--Tier 1 (June 2008)	All states. This provides additional weeks to all qualified workers who have exhausted regular unemployment compensation.	When enacted	Federal Gov't	20 or 80 percent of the total amount of regular state UI benefits, whichever is less	Same as under regular state UI benefits
Emergency Unemployment Compensation (EUC)--Tier 2 (June 2008)	Originally, only states with an Insured Unemployment Rate (IUR) of 4 percent or higher or a Total Unemployment Rate (TUR) of 6 percent or higher. However, the November 2009 legislation made Tier 2 benefits payable in all states.	January 2009	Federal Gov't	14 or 54 percent of the total amount of regular state UI benefits, whichever is less	Same as under regular state UI benefits
The February 2012 Act (P.L. 112-96) requires states to have a TUR of at least 6 percent	The February 2012 legislation requires States to have a TUR of at least 6 percent.	When enacted			
Emergency Unemployment Compensation (EUC)--Tier 3 (November 2009)	Only states with a 13-week IUR of 4 percent or higher or a 3-month seasonally adjusted TUR of 6 percent or higher.	When enacted	Federal Gov't	13 or 50 percent of the total amount of regular state UI benefits,	Same as under regular state UI benefits

	The February 2012 legislation requires States to have a TUR of at least 7 percent.	When enacted		whichever is less	
Extended Benefits (EB)	Only states with a 13-week IUR of 5 percent or higher, and 120 percent above the IUR rate for the corresponding 13-week period in the two previous years. States with a TUR of 8 percent or higher trigger on to what is referred to as the “High Unemployment Period” or HUP under the EB program. Michigan amended its UI statute to have a temporary TUR trigger, during the 100% federal financing period, to make individuals in their state eligible for these additional benefits.	Most recent EB period began January 25, 2009. The EB period ended February 18, 2012.	Generally shared by state and federal gov'ts, but currently funded fully by federal gov't under ARRA until January 2012 with phase-out until June 2012 Zero. On July 1, 2012, EB was not payable.	13 or 50 percent of the total amount of regular state UI benefits, whichever is less During a HUP 20 or 80 percent of the total amount of regular state UI benefits, whichever is less	Same as under regular state UI benefits

We note that due to the TUR in Michigan falling below the threshold of 9 percent, Tier 4 EUC benefits were not payable for new claims effective July 1, 2012.

Sources: Department of Labor

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older worker*

None.

3. Unemployment assistance

There are no unemployment assistance schemes in the United States.

4. Social assistance

The Supplemental Security Income (SSI) Programme is a means-tested, federally administered income assistance programme which provides monthly cash payments in accordance with uniform, nation-wide eligibility requirements to needy aged, blind and disabled persons. Its operation is beyond the scope of this publication.

SNAP is designed primarily to increase the food purchasing power of eligible low-income households to a point where they can buy a nutritionally adequate low-cost diet. This benefit scheme is classified – for the purposes of this publication – as social assistance.

4.1 Conditions for receipt

Households who meet the income tests described below and who meet other requirements (such as sufficiently low assets and immigration rules, for example) are eligible for SNAP benefits. To be entitled to the benefit, households need to pass two income tests (except for households where all members receive TANF, State General Assistance, or SSI, who qualify automatically*):

- Basic (gross) monthly income must not exceed 130 percent of the poverty guidelines.
- Counted (net) monthly income must not exceed 100 percent of the poverty guideline.

The net income guideline for a family of four in 2011 was USD 1838 per month.

* This automatic qualification is referred to as “categorical eligibility”. States have the option to confer categorical eligibility status on households receiving in-kind TANF-funded benefits in addition to cash benefits, known as broad-based categorical eligibility. As of May 2012, 43 States, including Michigan, had adopted broad-based categorical eligibility policies.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Basic (gross) monthly income is the cash household income. Earned income before federal, state and local taxes, and social security contributions is counted. The Earned Income Tax Credit (EITC) (see Section 8) is not included in basic monthly income. Also excepted is unanticipated, irregular or infrequent income up to USD 30/quarter and income from tax refunds.

Counted (net) monthly income is computed as follows (2012):

- Basic gross monthly income
- TANF
- Virtually all other cash assistance and retirement income
- Standard deduction: USD 142*

- 20 per cent of gross earnings deduction in recognition of taxes and work related expenses
- Court ordered child support payments deduction made to non-household members
- Out-of-pocket medical expenses deduction for elderly (aged 60 or more) or disabled household members in excess of USD 35
- Out-of-pocket dependent-care expenses deduction
- Excess shelter expense (rent and utility expenses) deduction if it exceeds 50 per cent of net counted income so far and with a maximum of USD 459.
- * Beginning in FY 2003 the standard deduction is equal to 8.31 percent of the poverty level which varies by household size. In FY 2009, the minimum deduction was set at \$144 and indexed by inflation. In FY 2012 households of 3 persons or less had a standard deduction of \$147, 4-person households had a deduction equal to \$155, 5-person households had a deduction equal to \$181 and for 6 or more persons, the standard deduction was equal to \$208.

As low-income families are expected to spend 30 per cent of their net income on food, the maximum benefit amounts are decreased by 30 per cent of counted (net) income.

Maximum Monthly SNAP allotments are linked to family size (see table).

Maximum monthly SNAP allotments for FY 2012 (in USD per month)

Household size (persons)	Maximum allotments	Gross income eligibility limit	Net income eligibility limit
1	200	1180	908
2	367	1594	1226
3	526	2008	1545
4	668	2422	1863
5	793	2836	2181
6	952	3249	2500
7	1052	3663	2818
8	1202	4077	3136
Each additional person	+150	+414	+319

4.2.2 *Income and earnings disregards*

SNAP benefits are not included in the means test of any other benefit.

4.3 ***Tax treatment of benefit***

SNAP benefits are not taxable.

4.4 ***Benefit duration***

Indefinitely, as long as eligibility conditions are fulfilled. SNAP benefits are issued monthly.

4.5 Treatment of particular groups

4.5.1 Young persons

Earnings before high school graduation are excluded from household countable income.

4.5.2 Older persons

Households with elderly (aged 60 and over) members: several program rules are relaxed for these households: they do not need to meet the basic (gross) income guideline; they may claim an excess shelter expense deduction greater than the maximum for other households; and they may have more countable assets than other households. Other administrative requirements are also relaxed.

Households with disabled members: in 2012 these households had the same program rules as the elderly.

4.5.3 Unemployed, healthy childless adults

Healthy, childless adults are subject to strict work requirements and time limits on their participation. They may receive benefits for only three months in any 36-month period unless they work, meet work requirements, are exempted under other provisions of law, or live in an area waived from work requirements due to insufficient jobs.

4.5.4 Immigrants

The 2002 Farm Bill restored SNAP eligibility to most legal immigrants provided they meet the income and asset eligibility requirements. All disabled legal immigrants had eligibility restored effective October 1, 2002, and all legal immigrants in the country for at least five years were had their eligibility restored April 1, 2003. Legal immigrant children under age 18 had their eligibility restored on October 1, 2003. Those admitted as refugees, granted asylum, or given a stay of deportation are eligible without a waiting period, as are legal immigrants with a military connection.

Today, the only legal immigrant group who remain ineligible are nondisabled adults who have not yet been in the U.S. for at least five years, were not admitted as a refugee, and do not have a military connection. Unauthorized immigrants, visitors and temporary residents are not eligible for SNAP benefits.

5. Housing benefits for rented accommodation

There is no provision in the U.S. for tax-benefits directly to families to support rental payments. This is in contrast to benefits for homeownership, which are supported through deductibility of mortgage interest payments from a person's federally taxable income as well as credits for first-time home purchases in some years. There is indirect support in the U.S. Tax Code for rental housing that is affordable for lower income families through the Low Income Housing Tax Credit program. This program provides incentives for construction or rehabilitation of affordable rental housing by providing tax credits that reduce the income tax of investors who participate in the program.

Federal support for rental housing is primarily supported through annual appropriations of federal spending that are administered by the U.S. Department of Housing and Urban Development (HUD). HUD administers a wide variety of programs to provide affordable housing. The three major federal rental assistance programs are public housing, project-based section 8, and tenant-based Section 8 vouchers.

5.1 Conditions for receipt

Housing assistance is not an entitlement. The three primary rental assistance programs provide for tenant eligibility based on income. Eligible income limits are based on a percentage of the local area median income (AMI)—no greater than 80 percent of AMI for both public housing and project-based Section 8, and no greater than 50 percent of AMI for Section 8 vouchers). In practice, the three rental assistance programs serve tenants with much lower incomes—primarily below 30 percent of AMI. Admissions of families are administered by local public housing authorities (PHAs) for the public housing and tenant-based Section 8), and in the case of the project-based Section 8 program by private owners of the assisted rental units. Priorities are usually based on time on the local waiting list, but localities are allowed to establish local preferences (families transitioning to work from welfare, disabilities, seniors, etc. for example).

The U.S. national median income in 2012 was approximately \$65,000 for a family of 4, with 80 percent of the median being \$52,000 and 30 percent being \$19,500. Using this Chapter's example of the State of Michigan, the median income for a family of four was \$60,400 per year, with 80 percent being \$47,750 and 30 percent being \$18,100.

More information on the calculation of local area median income limits can be accessed at: <http://www.huduser.org/portal/datasets/il.html>

Together, the three major rental assistance programs assist approximately 4.3 million households, which is about one-fourth of those who meet the minimum requirements for assistance.

5.2 Calculation of benefit amount

Tenants are required to pay 30 percent of their income for rent. Tenants in the Section 8 voucher program are also allowed to pay more than that amount to access higher priced housing. There are deductions in rent (by adjusting the amount of "income" that counts towards rent downward) for: families with a head of household who is elderly or disabled; medical expenses that exceed 3 percent of income per year, "reasonable" child care expenses, minors, adults who are full-time students (or attending vocational training, disabled family members. In addition, child support, spousal support and income earned by minors are also not counted towards income (with some limits) for purposes of calculating rent. In the public housing and tenant-based Section 8 programs, local PHAs are authorized to charge a "minimum rent" up to \$50 for families with very small incomes with hardship exceptions for some households.

In the public housing and project-based Section 8 programs, the benefit is the value of the housing provided. In the Section 8 voucher program, the subsidy makes up the difference between the tenant's rent contribution and a locally determined Fair Market Rent. Again, using this Chapter's example of the State of Michigan, the Fair Market Rent for the Detroit-Warren-Livonia metro area for a 2 bedroom apartment in 2012 was \$798 per month. More information on calculation of Fair Market Rents can be accessed at: <http://www.huduser.org/portal/datasets/fmr.html>

5.3 Tax treatment of benefits

Housing assistance is not taxable.

5.4 Benefit duration

There is no statutory limit on duration of assistance. Families may lose assistance through fraud, other criminal activity, or failure to comply with lease obligations.

5.5 Treatment of particular groups

As discussed above (under, “Calculation of benefit amount”) there are different deductions for rental payments for elderly and disabled persons, youth and families with specific expenses (e.g. child care). There may also be locally-determined preferences for admissions to the program based on household characteristics (working families, elderly, persons with disabilities, homeless persons).

6. Family benefits

6.1 Conditions for receipt

Under the Temporary Assistance for Needy Families (TANF) States, Territories, and Indian Tribes (henceforth referred to as States) determine eligibility and benefit levels and services provided to needy families. Although States may impose various conditions on the receipt of assistance, a family must, based on Federal law, include at least one child or the mother must be pregnant.

6.2 Calculation of benefit amount

There are no Federal TANF rules or requirements regarding the State’s calculation of benefits. Each State may establish its own benefit levels and determine its own benefit calculation.

The benefit is calculated based on the number of family members using the following amounts as a guideline in 2012 (Michigan):

- 1 person: USD 306 (*i.e.* pregnant mother expecting first child)
- 2 people: USD 403
- 3 people: USD 492
- 4 people: USD 597
- 5 people: USD 694
- 6 people: USD 828
- 7 people: USD 905

6.2.2 Income and earnings disregards

Except where another Federal statute specifies that certain income or other benefits should be disregarded, each State may decide which income to consider in calculating the benefit amount. There is considerable variation among the States in their treatment of earned income. In calculating the monthly benefit, Michigan disregards the first USD 200 of income earned plus 20 per cent of any additional earnings; across all states (as of July 2011), the fixed income disregard ranges from zero to USD 1,020 and the variable disregard from zero to 100 per cent up to the limit. In general, states with high fixed disregards tend to have smaller variable disregards and vice versa. Some states (not Michigan) impose a "family cap"

on benefits. The initial benefit is based on the size of the family at the time of application, and benefits do not increase for additional children conceived after eligibility is determined.

6.3 Tax treatment of benefit

Family benefits are not taxable.

6.4 Benefit duration

Eligibility and benefits are determined monthly. Federal funding for a family with an adult receiving TANF assistance is limited to 60 months. The 60 months do not have to be consecutive, but it is a lifetime limit. Each State has the option of shortening the time limit. States may use their own funds to provide benefits after the expiration of the 60 months. Many States have either shortened the time limit (for example, several States have a 24 month time limit) or limited the number of months that a family may receive benefits within a certain period of time. For example, the family may receive benefits for 24 months within a 60-month period, but there is a lifetime limit of 60 months of federally-funded assistance with up to 20 percent of the caseload exempted from the Federal time limit due to hardship.

6.5 Treatment of particular groups

Federally recognised Indian Tribes now have the opportunity to administer their own TANF program in a manner similar to States. States have the flexibility to give special treatment to the victims of domestic violence. States have the option to certify that they will assist victims of domestic violence by: screening for them when they apply for TANF; referring these clients to counselling and supportive services; and waiving time limits, residency requirements, child support co-operation requirements, and family cap provisions.

7. Childcare for pre-school children

According to the Federal Interagency Forum on Child and Family Statistics (www.childstats.gov), in 2010, 48 percent of children ages 0–4 with employed mothers were primarily cared for by a relative—their father, grandparent, sibling, other relative, or mother—while she worked. Twenty-four percent spent the most amount of time in a center-based arrangement (day care, nursery school, preschool, or Head Start). Fourteen percent were primarily cared for by a nonrelative in a home-based environment, such as a family day care provider, nanny, babysitter, or au pair.²

In 2007, about 55 percent of children ages 3–6, not yet in kindergarten, were enrolled in center-based care. This percentage was about the same as in 1995. A higher percentage of children ages 3–6, not yet in kindergarten, whose families had incomes at least twice the poverty level (65 percent) were enrolled in center-based care, compared with children from families with incomes 100–199 percent of the poverty level (45 percent in center-based care) and children from families below 100 percent of the poverty level (41 percent in center-based care).³

² Federal Interagency Forum on Child and Family Statistics <http://www.childstats.gov/americaschildren/tables.asp>

³ U.S. Department of Education, National Center for Education Statistics, National Household Education Surveys Program <http://nces.ed.gov/nhes/>

7.1 Out-of-pocket childcare fees paid by parents

Fees paid by parents for full-time, formal centre-based care vary substantially. Some families may pay 100 percent of costs, while others may have fully or partially subsidized care. According to the National Center for Education Statistics, the mean weekly out-of-pocket expenses for non-parental care arrangements for children under age 5, and not yet in kindergarten, were USD 60/week for relative care, USD 105/week for non-relative care, and USD 86/week for centre-based care in 2005.⁴ Families below 100 percent of the federal poverty line with children under the age of 5 had mean weekly out-of-pocket expenses for child care of USD 38/week for relative care, USD 56/week for non-relative care, and USD 54/week for centre-based care. (Note: These estimates indicate per child expenses. For children with more than one care arrangement, only expenses within that given type of care are summed to calculate the total spent per week.)

Child care services are primarily provided through a market-based system at rates determined by market forces. Rates vary substantially based on region, state, age of child, and type of child care setting. In 2010, the average annual cost of full-time, centre-based child care in Michigan was USD 8 900 for infants and USD 7 350 for a 4-year old.⁵ [Is there any information on average costs for children in part-time centre-based childcare?]

Child care fees are tax deductible through the Child and Dependant Care Tax Credit (see Calculation of Benefit Amount section below). The tax credit is non-refundable, so families that do not pay taxes do not benefit from the credit. With respect to expenses for dependent care, a household is entitled to a deduction for the actual cost of the care of a dependent if the care enables a household member to accept or continue employment, or training or education that is preparatory for employment.

The annual average Child Care Center Costs in Michigan for 2011 were

0-3 years of age : \$10 114

4-6 years of age : \$7 930

Source : http://www.naccrra.org/sites/default/files/default_site_pages/2013/michigan_wcdb_2013.pdf

7.2 Child-care benefits

The Child Care and Development Fund (CCDF) is the government child care subsidy program, which provides subsidies to low-income working families to offset the cost of purchasing child care, while maintaining the parental choice afforded by the market system. CCDF is a federal block grant program, providing funds directly to states, territories and tribes to operate a child care subsidy program designed to meet local needs. States have broad flexibility in determining eligibility guidelines (up to a maximum of 85% of state median income), reimbursement rates, & co-payment amounts, as well as the scope and quality of services.

Under CCDF, approximately 90% of subsidised child care services are available to eligible parents through certificates or vouchers, but 21 states also have contracted programs to purchase child care slots.⁶

⁴ 2005 National Household Education Survey (NHES), <http://nces.ed.gov/pubs2006/2006075.pdf>.

⁵ 2012 Child Care in the State of Michigan.
http://www.naccrra.org/sites/default/files/default_site_pages/2012/full2012cca_state_factsheetbook.pdf

⁶ 2010-2011 CCDF State and Territory Plans, <http://nccic.acf.hhs.gov/pubs/stateplan2010-11/chapter-2.pdf>.

(Note that under certificates, as well as contracted programs, the actual payment is generally due to the provider; only a small percentage of children – 2 percent in fiscal year 2010 – receive services through cash paid directly to parents). Parents may select any child care provider that satisfies applicable state and local requirements – including child care centres, family members, neighbours, family child care programs, after-school programs, and faith-based programs. Child care providers funded by CCDF must meet basic health and safety requirements set by states and tribes. These requirements must address prevention and control of infectious diseases, including immunizations, building and physical premises safety, and minimum health and safety training.

In 2010, approximately 1.7 million children per month were served.⁷ That year, USD 5 billion was appropriated to CCDF. In addition, the American Recovery and Reinvestment Act (The Recovery Act of 2009) contained a special, one-time USD 2 billion increase, available for spending over a three year period, to make child care services available to more low-income families and to promote high quality care for all children. A number of states used the Recovery Act funds to serve children by expanding eligibility during periods of job search, reducing family co-payments, or increasing provider payment rates. States have also responded to the national call for improved child care quality by creating or expanding Quality Rating and Improvement Systems (QRIS), improving teacher and professional development systems, developing information technology to improve services, and by making other investments that would increase or improve child care quality for all children, regardless of CCDF eligibility. QRIS are designed to improve quality for children in child care and other early childhood education programs through assignment of ratings, assisting programs in the development and implementation of improvement plans, and helping the public use this information to make decisions about child care.

Additionally, there are two block grant programs that provide child care funding: Temporary Assistance for Needy Families (TANF) and the Social Services Block Grant (SSBG). TANF is a cash assistance program, and states may transfer up to 30 percent of their TANF block grant to CCDF or spend TANF funds directly on child care. The SSBG program provides funding to states for many social services including child care. In FY 2012 approximately USD 14 billion of federal and related state funds were available for CCDF, TANF, and SSBG child care (including Recovery Act funds). Through CCDF, TANF and SSBG-funding streams, an estimated 2.5 million children were served on an average monthly basis in 2010 (the most recent year for which data are available).

The Federal government also provides funding for early childhood education through the Head Start program. The Head Start program gives grants to local public and private non-profit and for-profit agencies to promote school readiness by enhancing the social and cognitive development of children through the provision of educational, health, nutritional, social and other services to economically disadvantaged children and families. In fiscal year 2011, the Federal government provided USD 7.56 billion to the program. The program served 904,153 children in fiscal year 2009.⁸ The 2009 Recovery Act also provided USD 1 billion for Head Start and USD 1.1 billion for Early Head Start programs, expanding enrolment for approximately 60,000 children and families.

State-funded pre-kindergarten, or pre-K, programs are another key investment in early childhood education. In 2010-2011, 39 States funded pre-K programs for at least some of their preschool-aged

⁷ 2009. "Average Monthly Adjusted Number of Families and Children Served", Preliminary 2009 Data. Office of Child Care, Administration for Children and Families, Department of Health and Human Services. http://www.acf.hhs.gov/programs/occ/data/ccdf_data/09acf800_preliminary/list.htm

⁸ The Office of Head Start Program Fact Sheet, FY 2010, <http://www.acf.hhs.gov/programs/ohs/about/fy2010.html>.

children.⁹ State spending for pre-K programs exceeded USD 5 billion in school year 2010-2011 and served over 1.3 million children. The national average of per-child spending on pre-K was USD 4 847 when combined with state, local, and locally allocated federal funds. Most of these programs provide at least part-day services for a subgroup of preschool children, usually those from low-income families or with other risk factors.

There are sustained efforts to ensure collaboration between the Head Start, Child Care, and Pre-k programs. For example, the Head Start Reauthorization Act of 2007 requires each state governor to designate an Early Childhood Advisory Council (ECAC) to develop a coordinated system of early childhood education and care. In 2009, the Recovery Act provided USD 100 million to support these state Councils.

Another major source of support for child care services is the Child and Dependent Care Credit, which provides tax assistance to families who pay for child care in order to work in paid employment. In 2010, USD 3.4 billion in assistance was provided under the Child and Dependent Care Tax Credit to 6.34 million taxpayers.¹⁰ Some of the states offer child and dependent care tax credits or deductions to families in addition to the federal tax credit; eligibility limits and benefit levels vary widely.

7.2.1 *Conditions for receipt*

Federal law provides each state with broad discretion in determining how its CCDF child care programs will operate, such as setting eligibility guidelines, reimbursement rates, and co-payments. Federal law limits the maximum level for eligibility to 85 percent of state median income and requires states to give priority to very low income families. Parents must be working, (or seeking employment), or attending job training or education, or the child must be in need of protective services. Typically a child must be under age 13, however, children with special needs may be eligible up to 19 years of age. Eligibility limits set by states range from 37 percent of state median income (SMI) to 85 percent of SMI in 2012.¹¹ On average in fiscal year 2010, the income eligibility level was approximately 60 percent of SMI. Michigan set the level of eligibility in Fiscal Year 2010 at 37 percent of the State median income, regardless of family size, and does not maintain a waiting list.¹²

7.2.2 *Calculation of benefit amount*

CCDF and TANF child care benefits amounts are set by the state and typically vary by type of provider and other factors. Families receiving CCDF subsidies are required to contribute to the price of care on a sliding scale (based at a minimum on family size and income), although states may waive co-payments for families at or below poverty. According to administrative data for fiscal year 2010 the weighted average monthly CCDF subsidy among the 50 States and District of Columbia was USD 405 per

⁹ 2010. "The State of Pre-School 2010." W. Steven Barnett, Ph.D., Dale J. Epstein, Ph.D., Megan E. Carolan, Jen Fitzgerald, Debra J. Ackerman, Ph.D., Allison H. Friedman, Ed.M., National Institute for Early Education Research (NIEER). <http://nieer.org/yearbook/>.

¹⁰ 2009. Department of Treasury, Internal Revenue Service. "Individual Income Tax Returns 2009." Publication 1304. <http://www.irs.gov/taxstats/indtaxstats/article/0,,id=134951,00.html>

¹¹ 2010-2011 CCDF State and Territory Plans, <http://nccic.acf.hhs.gov/pubs/stateplan2010-11/chapter-2.pdf>.

¹² 2010-2011 CCDF State and Territory Profiles. <http://nccic.acf.hhs.gov/pubs/stateplan2010-11/chapter-3.pdf>.

family (including the family co-payment).¹³ (The weight is in proportion to the number of families/children served by CCDF in each State). These amounts include care for children of all ages, full and part-time care, and care by relatives as well as family day care homes and child care centres. Among children receiving a CCDF subsidy in fiscal year 2010, 66 percent were in centre-based care.

Michigan's child care subsidies are based on a sliding scale related to gross monthly income and family size. The ceiling income for subsidy eligibility ranges from USD 1 607 for family of 2 to USD 2 367 for family of 4. Co-payments range from 5 percent to 30 percent of Michigan's child care reimbursement rate ceiling. Reimbursement rate ceilings vary by age of child, type of care, and by locality. For centre-based care, the rate ceiling is USD 3.75 per hour for infants and USD 2.50 per hour for toddlers. For example, for a toddler in centre-based care for 40 hours/week, the weekly subsidy is USD100, and the weekly co-payment fee would range from USD 5.00 to USD30.00, depending on family income. Michigan waives co-payment fees for some families at or below the poverty level, specifically for families receiving TANF cash assistance and for families with children receiving protective services. Michigan pays its child care subsidies based on an hourly rate, which would be the same for full-day and part-time care. However, some states choose to base their payment rates on larger increments of time (i.e. daily). These payment rates will vary depending on whether the child was in full-time or part-time care. The amount of this variance is dependent on state policy.

The Child and Dependent Care Credit provides tax assistance to families who pay for child care in order to work in paid employment or look for work. The amount of credit is based on income, the number of dependents, and the amount of child care expenses. Families with adjusted gross income of less than or equal to USD 15 000 are eligible to receive a child care credit of 35 percent of qualifying child care expenses. Families with higher income receive a lower credit, with the rate falling to 20 percent for individuals and couples with adjusted gross incomes above USD 43 000. In 2010, qualifying child care expenses were capped at USD 3 000 for one child and USD 6 000 for two or more children. Thus the maximum value of the credit was USD 1 050 for an individual or couple with one child and adjusted gross income below USD 15 000 and USD 2 100 for a low-income family with two or more children. The credit is not refundable and so families that do not pay taxes do not benefit from the credit.

7.2.3 *Calculation of gross benefit*

See above.

7.2.4 *Income and earnings disregards*

Nineteen states disregard Supplemental Security Income (SSI), 22 states disregard TANF cash assistance income, 46 states disregard energy assistance or the value of housing allotments, and approximately 46 states disregard Federal and state earned income tax credits when calculating the child care subsidy benefit.

7.3 *Tax treatment of benefit and interaction with other benefits*

No states are known to treat CCDF or TANF assistance as taxable.

¹³ 2009 Preliminary CCDF Data Tables. Office of Child Care, Administration for Children and Families, Department of Health and Human Services
http://www.acf.hhs.gov/programs/occ/data/ccdf_data/09acf800_preliminary/list.htm.

7.4 *Treatment of particular groups*

States decide whether to target certain populations for CCDF subsidies. As reported in State Plans for fiscal years 2012-2013, 34 states offer priority for a child care subsidy eligibility to families receiving TANF cash assistance, which often includes families transitioning off of TANF.¹⁴ Priority status is given to families either on or transitioning off of TANF in 16 states. All states are required to give priority to families of children with special needs and families with very low incomes. Examples of other populations that are given special priority by one or more states include families with medical emergencies, parents who are students in post-secondary education, parents in homeless or spousal-abuse shelters, children in protective services or in foster care, and children in need of before and after-school care.

8. **Employment-conditional benefits**

The Earned Income Tax Credit (EITC) is a refundable tax credit. Eligible for EITC are working families with children under 19 (or under 24 if full-time student, or any age if permanently or totally disabled) and childless working persons aged between 25 and 65 that meet certain income thresholds. (See section 10.1.1.)

9. **Lone-parent benefits**

None.

10. **Tax system**

10.1 **Income tax schedule**

10.1.1 *Tax allowances and credits*

- *Basic reliefs:* In 2012 a married couple filing a joint tax return is entitled to a standard deduction of USD 11,900. The standard deduction is USD 8,700 for heads of households and USD 5,950 for single individuals. This relief is indexed for inflation. More liberal standard deductions are available for taxpayers who are age 65 or older and taxpayers who are blind. Special rules apply to children who have sufficient income to pay tax and are also claimed as dependents by their parents.

In addition to the standard deduction, in 2012 a USD 3,800 *personal exemption* is given every taxpayer (including both husband and wife filing a joint return). The personal exemption is indexed annually for inflation. In 2012, there is no phase out for personal exemptions.

- *Standard marital status reliefs:* Married couples generally benefit from a more favourable schedule of tax rates for joint returns of spouses (see Section 1.13). There are no other general tax reliefs for marriage.
- *Relief for children:* For each child and other person claimed as a dependent on a taxpayer's return, the taxpayer is entitled to a dependency exemption of USD 3,800 in 2012. Low income workers with dependents are allowed a refundable (non-wastable) earned income credit. For taxpayers with one child, the credit is 34 per cent of up to USD 9,320 of earned income in 2012. The credit phases down when income exceeds USD 17,090 (22,300 for married taxpayers) and phases out when it reaches USD 36,920 (42,130 for married taxpayers). *The earned income threshold and the*

¹⁴ 2012-2013 CCDF State and Territory Plans.

phase-out threshold are indexed for inflation. For taxpayers with two children, the credit is 40 per cent of up to USD 13,090 of earned income in 2012. The credit phases down when income exceeds USD 17,090 (22,300 for married taxpayers) and phases out when it reaches USD 41,952 (47,162 for married taxpayers). For taxpayers with three or more children the credit is 45 per cent of up to USD 13,090 of earned income. The credit phases down when income exceeds USD 17,090 (22,300 for married taxpayers) and phases out when it reaches USD 45,060 (50,270 for married taxpayers).

Since 1998, taxpayers are permitted a tax credit for each qualifying child under the age of 17. In 2012 the maximum credit is USD 1 000. The maximum credit is reduced for taxpayers with income in excess of certain thresholds. The credit is reduced by USD 50 for each USD 1,000 of income in excess of USD 110,000 for married taxpayers (USD 75,000 for single and head of household taxpayers). These threshold amounts are not indexed for inflation. The child credit is refundable (non-wastable) to the extent of 15 per cent of earned income in excess of USD 3,000. A taxpayer with three or more qualifying children may be allowed a supplemental refundable (non-wastable) child credit, subject to certain restrictions. The refundable credit is the excess of the taxpayer's share of social security (including Medicare) taxes over his earned income tax credit for the year not used to offset income tax liability.

- *Relief for low income workers without children:* In 1994 and thereafter, low income workers without children are eligible for the earned income credit. In 2012 low income workers without children are permitted a non-wastable earned income credit of 7.65 per cent of up to USD 6,210 of earned income. The credit phases down when income exceeds USD 7,770 (12,980 for married taxpayers) and phases out when income reaches USD 13,980 (19,190 for married taxpayers). This credit is available for taxpayers at least 25 years old and under 65 years old.
- *Relief for social security and other taxes.* In 2012, the withholding rate for Social Security taxes for employees is reduced from 6.2 percent to 4.2 percent. The earned income credits described above are sometimes considered an offset to social security contributions made by eligible employees. Furthermore, only a portion of social security benefits are subject to tax.

10.1.2 The definition of taxable income

Gross income minus the above tax exemptions.

10.1.3 The tax schedule

Federal Income Tax rates

Taxable Income Bracket (USD) ¹			Marginal Tax Rate (%)
Single Individual	Joint Return of Married Couple	Head of Household	
0 to 8 750	0 to 17 400	0 to 12 400	10
8 750 to 35 350	17 400 to 70 700	12 400 to 47 350	15
35 350 to 85 650	70 700 to 142 700	47 350 to 122 300	25
85 650 to 178 650	142 700 to 217 450	122 300 to 198 050	28
178 650 to 388 350	217 450 to 388 350	198 050 to 388 350	33
388 350 and over	388 350 and over	388 350 and over	35

1. The taxable income brackets are indexed for inflation.

State and local income taxes

The District of Columbia and 43 of the 50 States impose some form of individual income tax. In addition, some local governments (cities and counties) impose an individual income tax, although this is not generally the case. State individual income tax structures are usually related to the federal tax structure by the use of similar definitions of taxable income, with some appropriate adjustments. This linkage is not a legal requirement but a practical convention that functions for the convenience of the taxpayer who must fill out both federal and State income tax returns.

The AW calculations assume that the average worker lives in Detroit, Michigan. The state of Michigan permits a personal exemption of USD 3 763 for the taxpayer, the taxpayer's spouse and each child, and taxes income at the rate of 4.33 per cent. Additional USD 600 exemption for each child 18 years old and younger not payable in 2012. Michigan allows taxpayers who are eligible to claim the federal earned income tax credit to claim a Michigan earned income tax credit. The Michigan earned income tax credit is a refundable (non-wasteable) credit equal to 6 percent of the federal earned income tax credit.

The city of Detroit permits a personal exemption of USD 600 and taxes income at the rate of 2.45 per cent. Michigan provides a credit for city taxes paid. If the city income tax paid is USD 100 or less, the credit is 20 per cent of the city income tax paid. If the city income tax paid is over USD 100 but not over USD 150, the credit is 10 per cent of the excess of the city income tax paid over USD 100 plus USD 20. If the city income tax paid is over USD 150, the credit is 5 per cent of the excess of the city income tax paid over USD 150 plus USD 25.

10.2 *Treatment of family income*

Families are generally taxed in one of three ways:

- As married couples filing jointly on the combined income of both spouses;
- As married individuals filing separately and reporting actual income of each spouse; or
- As heads of households (only unmarried or separated individuals with dependents).

All others, including dependent children with sufficient income, file as single individuals.

10.3 *Social security contribution schedule*

10.3.1 *Employees' contributions*

Pensions

In 2012, the rate for employee contributions is 5.65 per cent (4.2 per cent for old age, survivors, and disability insurance, and 1.45 per cent for old age hospital insurance). The 4.2 per cent rate applies to earnings up to USD 106 800. Beginning in 1994, there is no limit on the amount of earnings subject to the 1.45 per cent rate.

There is no distinction by marital status or sex.

10.3.2 Employers' contributions

Pensions

The rate for employers' contributions is 6.2 per cent on earnings up to USD 110,100 and 1.45 per cent of all earnings (without limit).

Unemployment

Employers are required by the federal government to pay an unemployment tax on the earnings up to USD 7,000. The rate of this tax was 6.0 percent. The model considers that the Federal government allows employers to receive an offset credit for state unemployment taxes of up to 5.4 percent resulting in a net Federal tax of 0.6 percent on earnings up to USD 7,000. Taxes are also paid to various state-sponsored unemployment plans which may generally be credited against the required federal percentage. The latest actual data for calendar year 2011 indicates the average unemployment insurance tax rate in Michigan was 5.51 percent of the first USD 9,500 of wages.

11. Part-time work

11.1 Special benefit rules for part-time work

The unemployment benefit is calculated for qualifying part-time workers the same as it is for full-time workers.

11.2 Special tax and social security contribution rules for part-time work

Part-time workers only qualify for unemployment insurance if they work more than 20 hours per week or earn more than USD 1 340 per year. There are no specific rules for part-time workers to be eligible to the Earned Income Tax Credit (section 8).

12. Policy developments

12.1 Policy changes introduced from 2 July 2011 – 1 July 2012

12.2 Policy changes announced since 1 July 2012